

Our stakeholders

We can deliver on our purpose only by working with a diverse range of individuals and groups who are important to our business. Engaging these stakeholders helps us to better understand their needs and expectations, and work together toward common goals.

The table below shows a summary of why and how we engage with our main stakeholder groups.

Patients and caregivers	Customers	Employees
We work with patients and caregivers to understand the effects of our medicines and to ensure our treatments address unmet medical needs.	We build relationships with customers – including healthcare professionals and payers – to understand their needs and constraints, and to explain the benefits and risks of our medicines.	We engage employees to develop skills, improve working conditions, and promote an inspired, curious and unbossed culture.
How we engage		
- Engage with patients and patient representative groups to ensure they have a voice in the research and development of our medicines - Talk with patients to better understand and integrate their perspectives before we launch our medicines - Work with patient organizations worldwide to address common goals, such as improving cardiovascular health	- Expand the use of digital technologies to make interactions with healthcare professionals more personalized and convenient - Participate in scientific and medical congresses to highlight our progress across therapeutic areas and platforms - Talk to payers to understand their needs and improve patient outcomes through sustainable access for our medicines	- Hold regular employee events (mainly online during the COVID-19 pandemic) - Conduct quarterly surveys that measure employee engagement and other aspects of corporate culture - Offer health and well-being programs, and conduct regular evaluation, training and feedback sessions
Shareholders and investors	Partners	Policymakers and regulators
We communicate with shareholders and other investors to explain our strategy, performance and governance.	We work closely with external researchers, suppliers and a variety of other organizations to help discover new medicines, improve access to our medicines, and support business growth.	We maintain a constructive dialogue with policymakers and regulators so that our views are represented on issues affecting our industry.
How we engage		
- Hold face-to-face and online meetings with asset managers, financial and environmental, social and governance (ESG) analysts; and stewardship teams - Hold conferences, seminars and quarterly earnings presentations - Focus on our 100 largest shareholders, who together own 60% of our shares	- Conduct risk assessments of suppliers, and work to improve areas such as environmental sustainability - Foster a network of academic and industry research alliances - Work alongside global health organizations to improve access to medicines - Establish co-marketing, licensing and distribution agreements with other companies	- Work with trade associations and participate in leading industry initiatives alongside peer companies - Provide policymakers with regular data and insights to enable informed decision-making and improved patient outcomes

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Our 2021 materiality assessment

Every four years we conduct a detailed materiality assessment to identify issues that matter most to our stakeholders, and where we have the most potential to create value aligned with our purpose. The assessment informs our strategy and our reporting on ESG topics, and guides our impact performance measurement.

Our latest materiality assessment, conducted in 2021, was based on a survey of more than 500 external stakeholders and 12 000 internal stakeholders, and 140 follow-up interviews.

External stakeholders were drawn from our main stakeholder groups, including patients, customers, partners and shareholders. Internal stakeholders – including senior management – were drawn from across our business

divisions. Participants were asked to rank the impact of Novartis across eight impact clusters. Results can be seen in the chart below.

Overall, results were in line with our previous materiality assessment conducted in 2017 and were consistent across stakeholder groups: patient safety, access to healthcare, innovation and ethical business practices were again ranked highly. Although environmental sustainability was ranked lower than other impact clusters, it remains an essential component of our strategy and operating model.

For full details of our materiality assessment, please see www.novartis.com/materiality

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Patient health and safety → p.48
This is about the safety of our medicines and is therefore part of our core responsibilities.
- 2

Access to healthcare → p.70
We have an important role to play in making our medicines available and affordable to as many people as possible.
- 3

Innovation → p.35
Innovation is about helping to address the global burden of disease by researching and developing new medicines for unmet patient needs.
- 4

Ethical business practices → p.80
Acting responsibly and holding ourselves to high ethical standards are closely tied to trust in Novartis.
- 5

People and culture → p.61
A strong corporate culture helps us attract and retain talent. This topic is also about the health and safety of our employees, and fair working conditions.
- 6

Good governance → p.89
This relates to our corporate governance: how we manage our company, take decisions and allocate resources.
- 7

Sustainable financial performance → p.28
This is about sustainable financial returns and allocation of capital to areas we believe have the most impact.
- 8

Environmental sustainability → p.83
This relates to our management of emissions, waste and other effluents, and our consumption of natural resources.

